sterling credits will amount to £3,000,000,000. At 5 per cent this will amount to £150 million per annum. Thus on a pre-war average basis Britain may have to face a deficit of considerably over £300 millions annually. Unless this is made good by additional income from exports and various services, it will lead to a marked reduction in living standards.

This appears to be the governing factor in Britain's post-war policy, and if she is to maintain her present economy, she feels she must retain her colonial empire, with only such minor changes as are unavoidable, only as the dominant partner of a group of countries, colonial and non-colonial, does she hope to play a leading role, and to balance, politically and economically, the vast resources of the two giant powers—the United States of America and the Soviet Union. Hence the desire to continue her empire, to hold on to what she has got, as well as to extend her

sphere of influence over fresh territories, for instance over Thailand. Hence also the aim of British policy to bring about a closer integration with the Dominions, as well as some of the smaller countries of western Europe. French and Dutch colonial policy gene-